

The Spend-it account can be a joint account with your partner or parent or child – whoever shares the routine household expenses with you.

It is a good idea for both partners to contribute to running of the house. It is usual for a woman to use her salary to run the house and the man his to build the assets. Unfortunately, in a divorce situation, the law awards assets to the person that paid for them. So share the routine expenses and build assets in both names.

The third account is the Invest-it account into which you move either the leftover money from expenses as savings or the amount you target each month towards investments. Remember to choose banks that have excellent interfaces – both mobile and online – and good security systems.

The bank accounts should be such that they should allow you to link up with the various money transfer applications now available. Going online and linking your Invest-it account to various financial product-vending platforms is key to the smooth running of your money box.

It took me full six months to set it up. The passwords were missing, some banks needed additional security measures before I could transact and so on. So it is good to test it out for a few months to iron out all the glitches. Today, it takes me less than thirty seconds to make an investment or redeem it. Remember we are trying to get your time free for things that matter.

Those used to mutual funds may want to keep a part of their monthly spending money in a liquid fund. There are funds that allow an instant redemption of up to Rs 50,000 from a liquid fund into your savings deposit or allow access through a debit card. Especially, if your expenses are large and you find your savings deposit quite full till about the fifteenth of the month – put part of the spending money in a liquid fund.

Emergency cell

When we need the money from this cell we'll need it in a hurry – usually within a week or ten days. Even if you face a job loss, you usually get at least three months' severance pay. Therefore, we need products that earn a little more than a simple savings deposit, but is easy to break.